restrictions. The new Act also permitted overdrawing of accounts. It also empowered the proprietors at a special general meeting to increase the capital to a maximum of ₹2.1 crores, a power which was taken advantage of almost immediately when the capital was raised to ₹1.045 crores in the same year and subsequently to ₹2.09 crores in 1864.[15]

The abuse of the powers given by the Act by weak and dishonest Secretaries, the greed and complicity of the bank's Directors, lax government supervision, and the defects of the Charter Act of 1863 in not laying down stringent guidelines were some of the other reasons for the collapse of the bank. The Commission also noted the 'very exceptional nature of the times' referring to the phenomenal rise in cotton prices following the outbreak of the American Civil War in 1861 and the manic flurry of speculation in Bombay, the mushrooming of financial and land development companies, and the vast increase in the liquidity of the bank. As a result of the American Civil War, cotton supplies to England were affected. This shortage led to a rise in prices which gave Bombay merchants and cotton dealers the opportunity of realizing supernormal profits. These profits produced abnormal wealth which needed to be employed. As a result, companies were started for every imaginable purpose: banks and financial associations, land reclamation, trading, hotel companies, cotton cleaning, pressing and spinning companies, coffee companies, livery stables, and veterinary companies and so on. The shares of most of these companies were sold at a high premium as soon as they were brought into the market. The step of doubling the bank's capital when credit was already dangerously inflated and when every norm of sound business had been flouted was also unfortunate. The bank now needed to find avenues to employ the excess capital at a time when the market was already flush with funds.

The floatation of mushroom companies reached its peak in 1864–65. Most of the companies registered were financial associations and land development corporations. The dangers of speculation were heightened by the fact that only a few persons acted as promoters of the major companies and that the banks, financial corporations, and the land development corporations came to be, to use Sir Dinshaw Wacha's phrase, 'triangulated.' The best example of this was the Asiatic Banking Corporation, the Financial Association of India and China (the Old Financial), and the